Transition from Age Pension to Self-Funded Retirement

Australia provides the Age Pension under a means test: retirees must pass both an assets test and an income test. The test that results in a lower pension payment applies. As personal assets or income rise, pension eligibility is gradually reduced, transitioning individuals from full pensioners to part pensioners, and eventually to self-funded retirees who receive no pension.

Assets Test Thresholds (1 July 2025):

- **Single homeowner**: full pension if assets ≤ $321,500; part pension up to $704,500.
- **Single non-homeowner**: full pension if assets ≤ $579,500; part pension up to $962,500.
- **Couple homeowners (combined)**: full pension ≤ $481,500; part up to $1,059,000.
- **Couple non-homeowners (combined)**: full pension ≤ $739,500; part pension up to $1,317,000.

Income Test Thresholds (Fortnightly, 1 July 2025):

- **Single**: full pension if income ≤ $218; reduced by 50¢ per dollar above; part pension cut-off at $2,516.
- **Couple (combined)**: full pension if income ≤ $380; part pension cut-off at $3,844.40.

How Pension Tapers:

- Once assets exceed the **lower asset threshold**, pension reduces by approximately **$3 per fortnight for every $1,000** over the threshold.
- Similarly, income above the cutoff reduces pension by **50 cents per $1** above the income threshold.

Illustrative Examples:

- A **single non-homeowner** with $600,000 in assessable assets receives part pension (asset test limit $579,500).
- A **homeowner couple** earning $450 per fortnight (above $380 limit) will have their pension reduced under the income test.

As assets and income increase further beyond part-pension thresholds, pension eligibility phases out entirely.

Summary Table

Retiree Status	Asset Example	Income Example	Pension Status
Single, non-homeowner	$500,000 (under $579,500)	$200/week (under $218)	Full pension
Single, non-homeowner	$800,000 (above $579,500)	—	Part pension
Self-funded single	$1,000,000 (above $962,500)	—	No pension
Couple, homeowners	$600,000 combined	—	Part pension
Couple, non-homeowners	—	$4,000 combined fortnightly (≈$2,000 each above $380)	No pension under income test

Key Points

- **Homeownership status matters**: non-homeowners have higher assets thresholds due to housing costs.
- The **family home is exempt** in the assets test.
- Pension transitions are **gradual**, not abrupt creating an income/assets “sweet spot” before being fully self-funded.
- From 1 July 2025, thresholds have increased, making more retirees eligible. Non-homeowners benefit more from higher limits.